



to Scotch, India gains 99% preferential, often zero-duty, access to a high-income UK market (\$50,000 per capita). Delays have cost lakhs of crores in exports, thousands of companies, and countless jobs.

We've also secured a social security breakthrough: 100,000 Indians on short-term UK visas previously lost 25% of their salaries to the social security system in the UK without benefits. Now, these funds will go into their Indian Provident Fund accounts, earning 8% tax-free interest, saving ₹8,000–10,000 crore for our youth.

Is protecting the ₹2,000-crore Scotch market worth sacrificing massive export and employment opportunities for?

SZ: A unique feature of the recent EFTA trade deal is the massive amount of committed investment into India. Please elaborate on this.

A: Earlier, India used to sign free trade agreements and assumed duty concession was the only element that was part of such deals: our goods would be sold duty-free in their country and vice versa. When we were negotiating with the EFTA countries, I told them that India is the fastest-growing large economy in the world with 1.4 billion people, while your economy is growing slowly, and the population is ageing. Maybe your economy will double by 2047; my economy could grow eight times with a projected

gross domestic product of \$32 trillion. So, what will you give in return to make this a win-win situation?

This had never happened before. There is no free-trade agreement in history in which investment is committed. Here is an investment commitment without a bilateral investment treaty, cast in stone, that says if they do not invest, or do not create jobs in India, the country can claw back their duty concessions.

These four countries committed that they will invest \$100 billion in India—that is, ₹8.5 lakh crore—as foreign direct investment (FDI) in manufacturing, innovation, research, financial services, IT—these are tangible sectors. This does not include foreign institutional investment (FII). The FDI commitment will create 1 million direct jobs. And when ₹8.5 lakh crore of FDI comes in, there will be Indian partners investing with them, loans will be taken, ecosystems will develop, infrastructure will be built. My estimate is that ₹50 lakh crore of investment will flow into India over the coming years because of this FDI. One million jobs will be created directly; if you count direct plus indirect, 5 million new jobs will be created in India. The EFTA agreement will come into effect from October 1, and you will start seeing its benefits. **BT**

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